

CFO memo: headcount, cloud and product investment, next 18 months

To: CEO, VP Engineering, Board finance committee. From: FP&A. Date: 2026-09-17. Model: assumption set v1.3, generated from the planning model, no figure typed by hand.

Decision

Adopt the phased hiring plan with a one-year cloud commitment: 22 planned hires between October 2026 and May 2027 (14 in R&D, 7 in sales and marketing, 1 in G&A), and a one-year cloud commitment of 444,820 compute units a month at a 25% discount. Hold the front-loaded plan and the Insights contractor push until net retention recovers.

Where we stand

ARR is USD 24.3M at end August 2026, up 41% year on year, with USD 24.8M of cash and a trailing net burn of USD 762k a month (32 months of runway). Gross margin is 72.2% against 74.2% budgeted for the month: cloud hosting has risen from 7.9% of revenue in February to 9.3% because Insights customers consume 32% more compute. Year to date, EBITDA is +USD 459k against budget: late engineering hires (+USD 411k) and fewer new customers (-USD 561k of platform revenue) offset each other, while cloud usage (-USD 104k) is the one variance that changes the plan.

Why this option

- 6 options were run through the same drivers under base, upside and downside (18 runs). Two guardrails apply: downside runway never below 18 months, and base gross margin never below 74%.
- The front-loaded plan (29 planned hires plus contractors) adds only USD 1.7M of ARR by February 2028 in the base case and breaches the runway guardrail in the downside: 16.9 months, 1.1 short of the 18-month floor, with cash bottoming at USD 10.7M.
- The cost of the growth. Holding hiring also passes both guardrails. The phased plan burns USD 4.5M more over 18 months to end USD 2.2M higher in ARR, about USD 2.1 of burn per extra dollar of ARR, and gives the Insights product the squad its usage growth is paying for. The Q1 2027 retention review tests that trade.
- The runway floor decides the answer. At the budget's 12-month floor the model recommends the front-loaded plan with Insights contractors and a one-year cloud commitment; the board raised the floor to 18 months in September 2026.
- Cloud on demand fails the margin floor (base minimum 72.9%). The commitment saves USD 0.8M over 18 months in the base case and lifts the minimum gross margin by 2.0 points; the downside strands USD 178k of committed units, which is the price of the floor.

Scenarios for the recommended plan

Scenario	ARR at horizon end	Cash low point	Minimum runway	Minimum gross margin
Base	USD 40.5M	USD 16.8M	33 months	74.8%
Upside	USD 47.7M	USD 18.7M	33 months	74.9%
Downside	USD 29.7M	USD 13.5M	23 months	74.6%

Risks

- Net retention. The base assumes 105%; the downside 96%. Each review of the change log has moved this driver down, not up.
- Sales productivity. New customers per ramped account executive are 0.90 a month in the base and 0.50 in the downside; the 7 go-to-market hires only pay back if the base holds.
- R&D weight. R&D is 52% of revenue today, well above the benchmark range, which is why hiring is phased rather than front-loaded.

Asks

1. Approve the phased hiring plan and the 14 R&D requisitions in the order listed.
2. Approve the one-year cloud commitment before the next renewal window.
3. Revisit the front-loaded plan at the Q1 2027 review if net retention is at or above the base assumption.